

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

COMPLAINANT'S APPENDIX - SUPPLEMENT

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HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**SECOND DECLARATION OF SHLOMO Y. HECHT
IN SUPPORT OF COMPLAINANT'S BRIEF**

I, Shlomo Y. Hecht, do hereby state and declare as follows:

1. I am an attorney and am one of Complainant OJ Commerce, LLC's ("Complainant," "OJC," or "OJ Commerce") attorneys in this proceeding. I have personal knowledge of the facts described below. I am submitting this Declaration in Support of Complainant's Brief in this case.

2. Attached hereto and incorporated herein as **Exhibit 52** is a true and correct copy of a document identified as HS-011267 – HS-011269, produced by Respondents.

3. Attached hereto and incorporated herein as **Exhibit 53** is a true and correct copy of the Order dated February 18, 2022 in this proceeding.

4. Attached hereto and incorporated herein as **Exhibit 54** is a true and correct copy of portions of the deposition of Juergen Pump of Respondents, taken in this proceeding.

5. Attached hereto and incorporated herein as **Exhibit 55** is a true and correct copy Complainant's Counterstatements and Opposition to Respondents' Motion to Compel, filed on September 8, 2022 in this proceeding.

6. Attached hereto and incorporated herein as **Exhibit 56** is a true and correct copy of a document identified as HS-011265 – HS-011266, produced by Respondents.

7. Attached hereto and incorporated herein as **Exhibit 57** is a true and correct copy of a document identified as HS-011678 – HS-011685, produced by Respondents.

I DECLARE UNDER PENALTY OF PERJURY THAT THE FOREGOING IS TRUE AND CORRECT.

Dated: December 23, 2022

By: /s/ Shlomo Y. Hecht
Shlomo Y. Hecht

From: Andrea Casanova [/O=EXCHANGELABS/OU=EXCHANGE ADMINISTRATIVE GROUP (FYDIBOHF23SPDLT)/CN=RECIPIENTS/CN=75D18231451A463781639A551EBDD55E-CASANOVA, A]
Sent: 5/5/2021 7:01:40 PM
To: Jacob Weiss [jacob@ojcommerce.com]
CC: Andrea Cobo [Andrea.Cobo@hamburgsud.com]
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Jacob,

Unfortunately, we are not in the position to provide a contract primarily due to the space situation in Asia more than truck power and chassis availability in the US.

Nevertheless, I am going to check with our Trade team again and let you know if there is any change.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

Classification: Internal

From: Jacob Weiss <jacob@ojcommerce.com>
Sent: Wednesday, May 5, 2021 1:05 PM
To: Andrea Casanova <andrea.casanova@hamburgsud.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

This message was sent from outside of your organization. Please do not click links or open attachments unless you recognize the source of this email and know the content is safe.

Andrea,

I am super disappointed to learn that after all these conversations we've had over the last few weeks on size of renewal, we were now told NO renewal at all.

Will you be able to offer a contract for PORT to PORT so chassis and truckers are not HAMBURG's concern?

Jacob

From: Andrea Casanova <andrea.casanova@hamburgsud.com>
Sent: Tuesday, May 4, 2021 11:28 AM
To: Jacob Weiss <jacob@ojcommerce.com>

2d Hecht Decl
Ex. 52

SCX480

HS-011267

Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>

Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hello Jacob,

As per our conversation, we are not able to renew the contract at this time due to the lack of space and equipment in Asia and the shortage of truck power in the US that we and the entire industry are facing. This situation does not allow us to commit with space for another period, however, we can work case by case.

We deeply apologize contract cannot be renewed and thank you for your support and understanding.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

Classification: Internal

From: Jacob Weiss <jacob@ojcommerce.com>

Sent: Friday, April 30, 2021 11:29 AM

To: Andrea Casanova <andrea.casanova@hamburgsud.com>

Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>

Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

This message was sent from outside of your organization. Please do not click links or open attachments unless you recognize the source of this email and know the content is safe.

Andrea, Waiting for your updates.

From: Andrea Casanova <andrea.casanova@hamburgsud.com>

Sent: Wednesday, April 28, 2021 6:04 PM

To: Jacob Weiss <jacob@ojcommerce.com>

Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>

Subject: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Jacob,

As we spoke yesterday, we are working on your contract renewal so we would like to know an exact minimum quantity commitment (MQC) you are willing to sign to continue with process renewal.

At this time, please consider this commitment for the place of delivery City of Industry CA only.

SCX481

HS-011268

I look forward to your feedback.

Thank you.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

Classification: Internal

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FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

OJ COMMERCE, LLC, *Complainant*

v.

HAMBURG SÜDAMERIKANISCHE DAMPFSCIFFFAHRTS-
GESELLSCHAFT A/S & CO. KG AND HAMBURG SUD NORTH
AMERICA, INC., *Respondents*.

DOCKET NO. 21-11

Served: February 18, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON MOTION TO AMEND COMPLAINT AND MOTION TO DISMISS

I. Introduction and Procedural Background

On December 13, 2021, the Commission issued a Notice of Filing of Complaint and Assignment, indicating that Complainant OJ Commerce (“OJC”) had filed a complaint alleging that Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft-A/S & Co. KG and Hamburg Sud North America, Inc. (collectively “Hamburg”) had violated 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5, in connection with the delivery of OJC’s containers.

On January 18, 2022, Respondents filed a partial answer to the complaint, as well as a motion to dismiss and/or for summary judgment (“Dismissal Motion”). On February 2, 2022, Complainant filed an opposition to the Dismissal Motion (“Dismissal Opposition”). On February 7, 2022, Respondents filed a reply to the Dismissal Opposition (“Dismissal Reply”).

On February 2, 2022, Complainant also filed a motion seeking leave to file an amended complaint (“Amended Complaint Motion”), along with the proposed amended complaint. On February 7, 2022, Respondents filed an opposition to the amended complaint motion (“Amendment Opposition”).

On February 7, 2022, Complainant and Respondents filed a joint status report, as instructed in an initial order issued on December 14, 2021.

For the reasons set forth below, OJC’s motion to amend the complaint is granted, and Hamburg’s motion to dismiss and/or for summary judgment is denied as moot. Respondents may file a response to the amended complaint by March 1, 2022. The parties shall file a joint status report, as discussed below, by March 8, 2022.

II. Motion to Amend Complaint

Complainant asserts that the amended complaint provides additional factual bases regarding the Commission's jurisdiction over Hamburg Sud North America, Inc. ("Hamburg NA"), the amendments are timely as the amended Complaint was filed only 15 days after Respondents filed their partial answer and less than two months after filing of the original complaint, the amended complaint will not unduly prejudice Respondents as the additional facts in the amended complaint "are well known to Respondents, as they solely relate to the parties business relationship during 2020-2021," the amendments also address the alleged deficiencies raised in Respondents' motion to dismiss and/or for summary judgment, and the amended complaint alleges additional facts and claims under sections 41102(b)(2), 41104(a)(3), 41104(a)(5), 41104(a)(9) and 41104(a)(10), based on Respondents' failures to comply with the Shipping Act. Amended Complaint Motion at 1-8. Complainant notes that because the amendments are being sought prior to the start of discovery, Respondents have adequate time to prepare for the amended issues. Amended Complaint Motion at 8.

Respondents oppose the amended complaint motion, asserting that the motion to amend is unduly delayed, as "Complainant knew or should have known of the facts/claims it seeks to add to the complaint at the time the complaint was originally filed," and because the amendment seeks to add new Shipping Act claims and address deficiencies identified in Respondents' motion to dismiss which would "turn the complaint into a moving target for Respondents." Amendment Opposition at 2-3. Respondents argue that the motion to amend the complaint has and will prejudice Respondents because if the motion is granted, Respondents would be forced to file another dispositive motion, even if Respondents' original motion to dismiss is granted in whole or in part. Amendment Opposition at 3-4.

Pursuant to Commission Rule 66, amendments to a complaint "will be permitted or rejected, either in the discretion of the Commission or presiding officer." 46 C.F.R. § 502.66(a). The rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint, however, Commission Rule 12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), "a party may amend its pleading once as a matter of course" within 21 days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended pleading is permitted with opposing party's written consent or leave of court. Courts "should freely give leave when justice so requires." F.R.C.P. 15(a)(2).

As Complainant notes, its motion seeking leave to amend its complaint comes only 15 days after Respondents filed their partial answer and their dismissal motion. Thus, Complainant is well within the time limit under Federal Rule 15(a)(1)(B), to amend its complaint once as a matter of course. "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." *Bancoult v. McNamara*, 214 F.R.D. 5, at *8 (D.D.C. 2003); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962). The Commission has permitted amendment of a complaint to allow a party to further develop their allegations of Shipping Act violations. *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 2006 FMC Lexis 19, at *23 (FMC 2006).

Respondents also assert that the motion for amendment comes six weeks after the complaint was served. Amendment Opposition at 3. However, Commission Rule 66 and Federal Rule 15(a) do not include a time limitation and a “court should not deny leave to amend based solely on time elapsed between the filing of the complaint and the request for leave to amend.” *Bancoult v. McNamara*, 214 F.R.D. 5, at *8. Moreover, this proceeding is still in the early stages and discovery has not yet begun. Therefore, Respondents will not be prejudiced based on the timing of Complainant’s request to amend its complaint. Respondents may utilize discovery to obtain information necessary to address the new allegations raised in the amended complaint. Similarly, Respondents’ contention that they would be forced to file another dispositive motion should the amendment be allowed is not a basis to deny a well-founded motion requesting leave to amend a complaint. For the foregoing reasons, the amended complaint will be permitted.

The parties filed a joint status report (“JSR”) in which they state that they have exchanged initial disclosures but have been unable to reach agreement regarding a discovery schedule. Complainants proposed a schedule, but Respondents believed that it was premature to establish a discovery schedule or begin discovery pending a ruling on Respondents’ dismissal motion and Complainant’s amended complaint motion. JSR at 1-2.

Respondents should file a response to the amended complaint by March 1, 2022. The parties must file a joint status report by March 8, 2022, outlining a proposed schedule, and stating whether they have exchanged settlement offers, but not the content of any settlement offers.

III. Motion to Dismiss or for Summary Judgment

Respondents’ dismissal motion addresses the allegations in the original complaint. Since Complainants’ have been granted permission to file their amended complaint, which replaces the original complaint, Respondents’ motion is now moot. Respondents’ motion to dismiss and/or for summary judgment is, therefore, denied. However, their arguments, which may apply to the amended complaint, are addressed briefly below to provide guidance and avoid unnecessary motions practice.

Respondents state in their amendment opposition that if Complainant’s motion to amend “is granted, either before or after a ruling on Respondents’ motion to dismiss, Respondents will be forced to file another dispositive motion, even if Respondents’ original motion to dismiss is granted in whole or in part.” Amendment Opposition at 4. The parties are encouraged to begin discovery prior to filing any additional motions. It is noted that the amended complaint provides additional details and factual allegations and the discussion below is provided as guidance as the parties move forward.

Respondents assert that the complaint should be dismissed in its entirety with regard to Hamburg NA for lack of personal jurisdiction because, according to them, section 41102(c) applies only to common carriers and marine terminal operators, and Hamburg NA is not a marine terminal or common carrier but rather, “its only business was to act as the general agent of its ocean common carrier parent, [Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft-A/S & Co. KG (“Hamburg Germany”)]. Dismissal Motion at 1-2. Respondents also assert that the complaint must be dismissed to the extent it involves an alleged breach of service contract

because the Commission lacks jurisdiction over breach of contract claims, the complaint fails to state a claim under the Act with respect to the alleged breach of service, and an alleged breach of service contract does not fall within the scope of section 41102(c). Dismissal Motion at 3-6.

OJC asserts that Respondents' motion for dismissal should be denied because, according to OJC, its amended complaint renders moot all of Respondents' arguments for dismissal. Dismissal Opposition at 1. OJC notes that the amended complaint alleges that Hamburg NA is an ocean transportation intermediary ("OTI"), which may be held liable for section 41102(c) violations, and over which the Commission has personal jurisdiction as a "person" subject to regulation by the Commission, based on its acts in conjunction with Hamburg Germany. Dismissal Opposition at 1-2. OJC also notes that the amended complaint adds more detail and dates of Respondents' alleged repeated refusal over the course of 10 months to operate in accordance with the parties' service contract on a normal, customary, and continuous basis, which are Shipping Act violations rather than breach of contract claims, alleges that Respondents' failure to operate in accordance with the terms or modified terms of an agreement required to be filed with the Commission, constitutes a violation of section 41102(b) rather than section 41102(c), and adds specific dates showing conduct by Respondents over the course of 10 months, in violation of section 41102(b). Dismissal Opposition at 5-6. In addition, OJC argues that the motion for summary judgment is premature as discovery that would allow the parties to obtain information pertinent to the case has not yet occurred. Dismissal Opposition at 6-9.

1. Dismissal for Lack of Jurisdiction over Hamburg NA

Respondents argued in their motion to dismiss that the Commission lacks jurisdiction over Hamburg NA because the complaint alleges a section 41102(c) violation, which is applicable only to common carriers and marine terminal operators, and according to Respondents, Hamburg NA is neither a common carrier nor a marine terminal operator, as alleged by Complainant. The amended complaint alleges that Hamburg NA is an ocean transportation intermediary ("OTI"), an issue which is inextricably intertwined with the merits of the case, as an OTI is a Commission-regulated entity subject to the section 41102(c) prohibitions. The amended complaint thus raises a sufficient basis for the Commission to assert jurisdiction over the complaint, and over Hamburg NA.

2. Dismissal for Lack of Jurisdiction over Breach of Contract Claims

Respondents also argue that the complaint is subject to dismissal because "[o]ne of the alleged violations of Section 41102(c) enumerated in the complaint is the failure to fulfill service obligations under a service contract," but in actuality Complainant's allegation represents "a claim for a breach of contract, not a claim of a violation of the Act." Dismissal Motion at 3.

The amended complaint provides greater specificity regarding Complainants' allegations that Respondents violated section 41102(c), and alleges additional violations of the Shipping Act by Respondents. These allegations go beyond mere breach of contract claims to comprise allegations of conduct prohibited under the Shipping Act. The Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations may constitute both breach of contract claims and claims that the entity violated the Shipping Act.

See, e.g., Baltic Auto Shipping, Inc. v. Hitrinov, Docket No. 14-16, 33 S.R.R. 1230, 1232-33 (ALJ Feb. 2, 2015) (Order Denying Request for Stay).

3. Dismissal Based on Summary Judgment

If Respondents intend to file a motion for summary judgment, it is noted that summary judgment is not appropriate when issues of material fact are disputed by the parties. Reviewing the parties' filings, it is apparent that material facts in the case are disputed by the parties. As an example, Complainant alleges that Hamburg NA is an OTI (Amended Complaint at No. 2), while Respondents assert that Hamburg NA's "only business was to act as the general agent of its ocean common carrier parent, [Hamburg Germany]." Dismissal Motion at 2. This is a material disagreement because it goes to the core of whether the Commission has jurisdiction to adjudicate the complaint against Hamburg NA, and whether the alleged Shipping Act violations apply to Hamburg NA. Similarly, the parties disagree as to the gate out dates for the containers alleged to have been improperly subjected to demurrage charges. These are also material disagreements because the gate out dates are important to determine whether demurrage should have been imposed on the containers, and in what amount. Discovery would allow the parties to obtain information pertinent to material facts in the case. Thus, a motion for summary judgment is not appropriate at this stage in the proceedings.

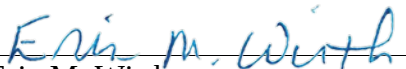
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that the motion to amend the complaint be **GRANTED**. The Secretary is requested to file the amended complaint attached to Complainant's motion for leave to file an amended complaint. Respondents may file an answer to the amended complaint by March 1, 2022. It is

FURTHER ORDERED that Respondents' motion to dismiss and/or for summary judgement be **DENIED AS MOOT**. It is

FURTHER ORDERED that the parties shall submit a joint status report with proposed schedule by March 8, 2022.


Erin M. Wirth
Chief Administrative Law Judge

Juergen Pump
7/19/2022

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1	BEFORE THE	1	APPEARANCES OF COUNSEL
2	FEDERAL MARITIME COMMISSION	2	
3	DOCKET NO 21-11	3	ON BEHALF OF THE COMPLAINANT:
4		4	AARON W. DAVIS, ESQ.
5	OJ COMMERCE, LLC	5	VALHALLA LEGAL, PLLC
6	Complainant,	6	PHONE: (763)-957-2397
7	v	7	
8	HAMBURG SÄœDAMERIKANISCHE	8	
9	DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG	9	
10		10	
11	and	11	ON BEHALF OF THE RESPONDENTS:
12	HAMBURG SUD NORTH AMERICA, INC	12	WAYNE R. ROHDE, ESQ.
13	Respondents	13	COZEN O'CONNOR
14		14	1200 19TH STREET NW
15	ZOOM REMOTE VIDEO TELECONFERENCE DEPOSITION OF	15	WASHINGTON, DC 20036
16	JUERGEN PUMP	16	
17	JULY 19, 2022	17	ALSO PRESENT:
18	10:06 AM TO 06:24 PM	18	JACOB WEISS
19		19	SAM HECHT, ESQ.
20		20	KATIE SABOTTA, ESQ.
21		21	RACHELLE BARSTOW, ESQ.
22		22	
23	REPORTED BY:	23	
24	YASMIN MORSHEDIAN, FPR, COURT REPORTER	24	
25	NOTARY PUBLIC, STATE OF FLORIDA	25	

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Info@ymlegalservices.com
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SCX488

2d Hecht Decl
Ex. 54

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Info@ymlegalservices.com
YM Legal Services, Inc.
SCX490

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S
& CO. KG

and

HAMBURG SUD NORTH AMERICA, INC.

Respondents.

DOCKET NO. 21-11

2d Hecht Decl
Ex. 55

**RESPONDENTS' MOTION TO COMPEL
AND COMPLAINANT'S COUNTERSTATEMENTS AND OPPOSITION TO
RESPONDENTS' MOTION TO COMPEL¹**

Pursuant to 46 C.F.R. § 502.150, Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG ("HSDG") and Hamburg Süd North America, Inc. ("HSNA") (collectively, "Respondents") move to compel Complainant OJ Commerce, LLC ("OJC") to produce documents in response to eight requests for the production of documents (*see* Exhibits #1 and #2 hereto). Respondents repeatedly conferred with OJC's counsel in good faith to obviate the necessity of this motion but, despite representations to the contrary by OJC's counsel, OJC refuses to provide the requested discovery that is directly relevant to the parties' claims and defenses. The discovery requested in this motion was specifically requested by Respondents'

¹ As directed in paragraph 11 of the Initial Order, the non-moving party, Complainant, has inserted its counter-summaries and arguments into the original motion. For ease of reference, each counterstatement or other addition is highlighted in tan to signal that it is material by Complainant.

damages expert in the report he served on August 5, 2022 and is necessary to allow the expert to assess OJC's damages claim. OJC did not serve an expert report to support its damages claim and refuses to produce the discovery required to assess that claim.

COUNTERSTATEMENT TO INTRODUCTION

Respondents' motion should have never been filed. All the information that Respondents demand with their motion they already possess, or OJC has already told Respondents during prior deposition that the requested documents do not exist. Indeed, OJC provided the information demanded herein on July 14, 2022, when it produced a preliminary assessment of OJC's damages – without the benefit of Respondents' critical spot market rate information that they continue to withhold to this very day – that contained multiple spreadsheets full of the relevant data, including but not limited to the number, price paid, and contents of all containers shipped by OJC since June 1, 2020. By their own admission, Respondents did not serve their alleged expert's report until August 5, 2022. As Respondents received comprehensive data from OJC three weeks before, any failure by Respondents to provide that information to their expert was of their own making.

Ironically, Respondents contended just yesterday in their response filing that OJC's request for an extension of the expert deadline is "moot" because OJC produced an expert report on September 2, while contending in this motion that Respondents' expert needs the documents demanded in this motion "to assess OJC's damage claims." The difference is that OJC has produced the relevant information, as shown below, and Respondents have not.

Respondents in fact admitted in an email earlier today that they still have not produced all documents responsive to OJC RFP 26 on pricing (*see* Ex. A, highlighted paragraph), despite this Court ordering Respondents "to provide complete responses to OJC RFP 26 and all responsive documents must be provided within seven calendar days of the date of this order [September 7]." Order dated August 31, 2022, at 9. Respondents have even been "warned that failure to do so may

result in sanctions, including directing facts to be established, prohibiting claims or defenses, striking pleadings, or dismissing claims or defenses. 46 C.F.R. § 502.150(b).” *Id.*

But instead of doing as ordered, Respondents make promises about some spot market rate information coming in the next day or two, and other information “as soon as it is available,” whenever that is. (*See* Ex. A, highlighted paragraph). Incredibly, Respondents have produced **no service contract rate information at all**, which was also ordered produced, Order dated August 31, 2022, at 9, and they have provided no time frame when, if ever, that information will be produced. Respondents’ attitude of “you’ll get the information when it’s ready, if ever” makes a mockery of the Court’s Orders and provides yet more substantiation for why OJC needs additional time to complete its expert report and discovery in general. Depositions cannot move forward, and expert reports cannot be completed without this critical, outstanding information. Nonetheless, it appears that Respondents have made the calculated decision to run out of the clock (as the discovery deadline is currently still September 16, a week from tomorrow) and risk sanctions rather than produce the pricing information that is evidently even more damaging to their case.

Instead of working on their own deficient production that was ordered remedied on August 31, Respondents worked on and filed this retaliatory motion to compel on September 1. But as all the pertinent information demanded has already been produced or does not exist, Respondents’ motion should be DENIED and sanctions be levied against Respondents for admittedly continuing to flout this Court’s Orders by precluding Respondents from challenging OJC’s claimed damages. Without sanctions, Respondents will indeed successfully run out of the clock on discovery and continue violating all this Court’s Orders. Furthermore, to move all discovery in this proceeding to completion, OJC respectfully requests under 46 C.F.R. § 502.141(i)(2) a hearing with Your Honor as soon as possible on all outstanding discovery issues so that these issues can be finally decided, and discovery wrapped up.

BACKGROUND

OJC alleges that Respondents violated several provisions of the Shipping Act of 1984, as amended, by allegedly failing to provide vessel space to OJC as contemplated by the service contract between the parties and by not entering into a new service contract with OJC. OJC alleges it suffered substantial damages because of Respondents' purported conduct. Respondents have produced over 13,000 pages of documents in response to discovery requests issued by OJC, including over 700 emails between OJC and Respondents. In contrast, OJC's total document production consists of just 30 documents.

COUNTERSTATEMENT TO BACKGROUND

Respondents' characterization of their production and OJC's production is a blatant misrepresentation to this Honorable Court. OJC has provided documents, which contain the entire string of emails, thereby eliminating duplicates. Respondents, on the other hand, produced literally many hundreds of duplicate emails, including multiple copies of every email from multiple persons copied on emails strings. This dramatically inflated Respondents' production numbers just for show. One example of this tactic is illustrated by the two allegedly "work product" emails that Respondents clawed back and the Court ordered reproduced (as they were not work product). Order dated August 31, 2022, at 9-10. The content of those two emails actually appeared in 25 separate documents, which were simply duplicates from multiple recipients of the same emails in the same string, produced over and over again. Expand that out to Respondents' entire production and the Court can see how for every two unique emails that Respondents produced, they produced 23 duplicates. This strategy padded Respondents' production numbers to no useful end other than to make their "we produced a lot more" argument and to drive up OJC's costs, as it forced OJC to review a dozen duplicate documents for every unique document produced by Respondents.²

² As shown above, despite Respondents' boasting of their production, they still have not produced anywhere near all the responsive documents twice ordered by this Court to OJC RFP 26.

By contrast, OJC has produced data in spreadsheets on 737 containers shipped by OJC from June 1, 2020, around when the parties' Service Contract started, until the present day. For each container, OJC provided Respondents with 13 points of data, including but not limited to the exact origin, destination, shipping carrier, ship date, arrival date, container value, and the exact price paid. Despite receiving this information on July 14, 2022, Respondents filed their present motion to compel that information anyway.

OJC also provided Respondents a total of 2,830 records of all the contents in the 737 containers. For each line item, OJC provided 12 points of data, including but not limited to the product descriptions, total units, unit cost, profits, revenue, and pricing.

OJC also provided a total of 366,709 records of sales history on all those products, starting from January 1, 2020, to the present. For each sales transaction, OJC provided 12 points of data, including the order number, order date, order source, price paid, item ordered, qty ordered, cost of shipping, cost of fulfillment, commissions, marketing, discounts, sales, and gross revenue, all from OJC's internal database.

All in all, in addition to the other documents and emails that OJC has produced, OJC has provided to Respondents a total of 370,276 records, with 4,444,049 points of data, encapsulating all shipping containers during the relationship between the parties, and all sales records of products associated with those shipping containers.

On August 15, 2022, OJC's CEO and founder, Jacob Weiss testified in detail for hours on the substance of the spreadsheet data, the meanings and formulas used in the columns, and the information contained therein. Nevertheless, Respondents demand information in this motion that is clearly not relevant, does not exist, or they already possess.

LEGAL STANDARD

The Commission's Rules entitle parties to discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense—including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter." 46 C.F.R. § 502.141(e)(1). The discovery requests Respondents seek to compel satisfy these criteria.

ARGUMENT

Pursuant to 46 C.F.R. § 502.150(a)(2) and Paragraph 11 of the Initial Order in this proceeding, the text of each discovery request at issue, OJC's response, and Respondents' arguments as to why compelling a response is appropriate are set forth below.

A. REQUESTS FOR PRODUCTION OF DOCUMENTS

1. First Requests for Production #1 through #4

Respondents seek an order compelling OJC to produce documents in response to First Requests for Production of Documents #1, #2, #3 and #4.³

1. All service contracts, including amendments, with ocean common carriers other than HSDG.

RESPONSE: OJC objects to this Request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. OJC also objects to the term "service contract" as a vague, undefined term.

SUPPLEMENTAL RESPONSE: OJC further objects to this Request to the extent it seeks documents relating to service contracts from before May 31, 2021, as that information is not reasonably calculated to lead to the discovery of admissible evidence. As to after May 31, 2021, OJC states that there are no such responsive documents.

2. All NVOCC Service Arrangements and/or Negotiated Rate Agreements, including amendments, with any non-vessel operating common carrier.

³ Information similar to that sought in these requests for production was sought in an interrogatory. Respondents do not seek to compel a response to the interrogatory because production of the documents would be sufficient.

RESPONSE: OJC objects to this Request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. OJC also objects to the terms “NVOCC,” “Service Arrangements and/or Negotiated Rate Agreements, and “non-vessel operating common carrier” as vague, undefined terms.

SUPPLEMENTAL RESPONSE: OJC further objects to this Request to the extent it seeks documents relating to “NVOCC Service Arrangements and/or Negotiated Rate Agreements” from before May 31, 2021, as that information is not reasonably calculated to lead to the discovery of admissible evidence. As to after May 31, 2021, OJC states that there are no such responsive documents.

3. Documents relating to and sufficient to show the volumes shipped under each service contract with an ocean common carrier other than HSDG.

RESPONSE: OJC objects to this Request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. OJC also objects to the term “service contract” as a vague, undefined term.

SUPPLEMENTAL RESPONSE: OJC further objects to this Request to the extent it seeks documents relating to service contracts from before May 31, 2021, as that information is not reasonably calculated to lead to the discovery of admissible evidence. As to after May 31, 2021, OJC states that there are no such responsive documents.

4. Documents relating to and sufficient to show the volumes shipped under each NVOCC Service Arrangement and each Negotiated Rate Agreement with any non-vessel operating common carrier.

RESPONSE: OJC objects to this Request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence. OJC also objects to the terms “NVOCC,” “Service Arrangements and/or Negotiated Rate Agreements, and “non-vessel operating common carrier” as vague, undefined terms.

SUPPLEMENTAL RESPONSE: OJC further objects to this Request to the extent it seeks documents relating to “NVOCC Service Arrangements and/or Negotiated Rate Agreements” from before May 31, 2021, as that information is not reasonably calculated to lead to the discovery of admissible evidence. As to after May 31, 2021, OJC states that there are no such responsive documents.

Respondents’ counsel held at least three “meet and confers” with OJC’s counsel, on June 23, 30, and July 13, 2022. During these “meet and confers,” Respondents’ counsel clarified the meaning of the term “service contract” as used in the Requests (a term OJC itself used throughout its Verified Amended Complaint). Respondents’ counsel understood, based on statements made by OJC’s counsel during the meet and confers, that OJC would be providing “pretty much” everything

Respondents had requested. Respondents' counsel also addressed the status of OJC's response to its discovery requests (including these Requests for Production) in an email to OJC's counsel dated July 21, 2022. OJC's counsel responded to that inquiry as follows:

OJ Commerce will supplement its responses and produce its documents by July 29, 2022, with the exception of RFP 10 (audited financials) which is irrelevant and harassing. Respondents already possess the data related to OJC's damage calculations and claims. If you have cases that require the production of audited financials in all instances when a party claims damages and in addition to all the detailed information already provided, please provide for our review.

While OJC did indeed supplement its discovery responses on July 29, 2022, the supplemental responses merely asserted additional, untimely objections. OJC did not produce any further documents or information as promised during the "meet and confers."

The information requested in First Requests for Production #1 through #4 is reasonably calculated to lead to the discovery of admissible evidence with respect to OJC's damages claims. Evidence of past performance with other ocean carriers is relevant to assess the reasonableness of OJC's assumptions regarding future cargo volumes. In addition, OJC also appears to claim that it was unable to ship with other ocean carriers cargo for which it could not obtain space from Respondents. This allegedly resulted in OJC foregoing shipments, resulting in lost profits rather than merely higher shipping costs. OJC's performance under past contracts is relevant to this claim, and the extent to which OJC did or did not seek to mitigate any damages OJC claims to have suffered as a result of HSDG's alleged conduct. Thus, information about OJC's performance under service contracts with other ocean carriers is relevant to two different aspects of OJC's damages claims.

Additionally, Jacob Weiss, the founder, owner and CEO of OJC, testified at deposition that he was "fairly certain" that OJC's service contracts with other ocean carriers followed a plan and that the contracts "definitely" had "a consistent system of some method..." with respect to the carrier's obligation to provide space. Weiss Deposition, pp. 192-193. Respondents are highly

skeptical as to the accuracy of Mr. Weiss's testimony regarding the content of OJC's service contracts with other ocean carriers and, in addition to the foregoing reasons, seek the service contracts to test the credibility of Mr. Weiss's testimony.

COUNTERSTATEMENT ON RFP 1-4

With these requests, Respondents seek information that it already has had for nearly two months. The "[e]vidence of past performance with other ocean carriers is relevant to assess the reasonableness of OJC's assumptions regarding future cargo volumes"/"information about OJC's performance under service contracts with other ocean carriers is relevant to two different aspects of OJC's damages claims" was produced to Respondents on July 15, 2022 (from June 1, 2020 through March 24, 2022) and was supplemented on September 2 for additional shipments made since then. Specifically, as stated above, the spreadsheets contained comprehensive data on the 737 containers shipped by OJC from June 1, 2020, around when the parties' Service Contract started, until the present day.

Mr. Weiss testified during his August 15th deposition that he could not get extra space from other carriers during the time Respondents were failing to meet their contractual requirements, stating that "we couldn't get extra space [from other carriers] beyond the contract at the contract rates," in order to make up for Respondents' shortfalls. (Weiss Deposition, 206:1-24.) As to what shipments OJC did make, Respondents have that information already. Respondents' motion to compel on RFP 1-4 should be denied.

2. First Request for Production #9

Respondents seek an order compelling a response to First Request for Production #9:

9. Documents relating to and sufficient to show total volumes imported and/or shipped by You by year since 2018.

RESPONSE: OJC objects to this Request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence.

SUPPLEMENTAL RESPONSE: OJC further objects to this Request to the extent it seeks documents from before May 31, 2021, as that information is not reasonably calculated to lead to the discovery of admissible evidence. As to after May 31, 2021, OJC states that information has already been produced.

This document request addresses issues similar to First Requests for Production #1 through #4, and was covered by the written exchange between counsels described on page 4 above. In this regard, as noted above, OJC's damages calculations are based in large part on projected cargo volumes that it alleges would have been shipped under a 2021-22 service contract. Respondents are entitled to information about OJC's shipping history to evaluate the reliability of those projections and the damages claims the projections allegedly support.

This document request is slightly broader than Requests for Production #1 through #4, as it seeks total import volumes. Information about OJC's total import volumes would be compared with the information about OJC's ocean shipments to determine if OJC may have used alternative means of transport (e.g., air cargo) to move cargo, and whether the use of such alternative means of transport might have been a way for OJC to mitigate the damages it claims to have suffered.

COUNTERSTATEMENT ON RFP 9

Again, on July 14, 2022, OJC produced data in spreadsheets on the 737 containers shipped by OJC from June 1, 2020, around when the parties' Service Contract started, until the present day. For each container, OJC provided Respondents with 13 points of data, including the exact origin, destination, shipping carrier, ship date, arrival date, container value, and the exact price paid. Thus, Respondents already has the information it seeks. Moreover, Respondents has no legitimate basis for OJC's shipping volumes from before June 1, 2020, as what was shipped by OJC in 2018 or 2019 has nothing to do with what OJC did and could have shipped during the 2021 and 2022, the years where the demand for household goods skyrocketed due to the global pandemic.

As to Respondents' rationale that "[i]nformation about OJC's total import volumes would be compared with the information about OJC's ocean shipments to determine if OJC may have used alternative means of transport (e.g., air cargo) to move cargo, and whether the use of such alternative means of transport might have been a way for OJC to mitigate the damages it claims to have suffered," Respondents already knew before filing their motion, from the deposition of Jacob Weiss, taken on August 15, that OJC has never imported its products into the U.S. by airplane, or any other transportation method. Indeed, Respondents' counsel had the following exchange during Mr. Weiss deposition last month:

Q. Okay. So for the last four to five years, you have been importing product under the Naomi brand, Homestock brand, and other brands, and that product has always been imported via ocean carrier, fair – or freight forwarder?

A. As opposed to – I'm not exactly following the question.

Q. Well, have you ever brought product in by air, for example; by plane?

A. No.

Q. Okay. It's always been done by ships over the sea?

A. Yes.

(Weiss Deposition, 77:23 – 78:10.) Despite having clear and unambiguous testimony under oath that OJC has not used any "alternative means to transport (e.g., air cargo) to move cargo," Respondents nevertheless brought this motion. Accordingly, Respondents' baseless motion on RFP 9 should be denied as moot.

3. First Request for Production #10; Second Requests for Production #20 and #21

Respondents seek an order compelling a response to RFP #10:

10. All of Your audited financial statements for the period January 1, 2018 to the present.

RESPONSE: OJC objects to this Request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence.

SUPPLEMENTAL RESPONSE: OJC has already produced its documents and data relating to its claims for damages against Respondents, including a 40 MB spreadsheet of extensive sales and shipping data.

Respondents' counsel also raised a question regarding the status of OJC's response to its discovery requests (including RFP #10) in an email to OJC's counsel dated July 21, 2022. OJC's counsel responded to that question by writing:

OJ Commerce will supplement its responses and produce its documents by July 29, 2022, with the exception of RFP 10 (audited financials) which is irrelevant and harassing. Respondents already possess the data related to OJC's damage calculations and claims. If you have cases that require the production of audited financials in all instances when a party claims damages and in addition to all the detailed information already provided, please provide for our review.

On July 29, 2022, Respondents' counsel sent the following message to OJC's counsel:

In response to OJC's claim that the request for audited financial statements is "harassing," HSDG notes that production of financial statements is commonly compelled in cases where damages include or are based on lost profit. Cases in support of this proposition are legion, and include *Fin. Bus. Equip. Sols., Inc. v. Quality Data Sys., Inc.*, No. 08-60769-CIV, 2008 WL 4663277, at *1 (S.D. Fla. Oct. 21, 2008) (profit and loss statements, balance sheets, cash flow statements, and federal tax returns relevant to alleged damages, including claim for lost profits); *Linea Pelle, Inc. v. Omega Fashions Ltd.*, No. 95 CIV. 0138 (LMM), 1997 WL 13267, at *1 (S.D.N.Y. Jan. 15, 1997) (financial statements order produced in case involving lost profits damage theory); *Unverferth Mfg. Co. v. Meridian Mfg., Inc.*, No. 19-CV-4005-LTS-KEM, 2020 WL 13015558, at *1 (N.D. Iowa Nov. 12, 2020) (audited financial statements relevant to expert's calculation of damages). We urge OJC to reconsider its position with respect to the production of audited financial statements, the request for which is relevant and not burdensome or harassing.

To date, OJC has not provided any financial statements (audited or unaudited).

In their Second Request for Production of Documents, Respondents sought additional financial information from OJC:

20. Your quarterly and annual profit and loss statements from 2018 until present.

RESPONSE: OJC objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence, is overly broad as to time and scope, and unduly burdensome. OJC also objects because such statements do not break out Naomi Home in them and all Naomi Home sales and data have already been produced.

21. Your unaudited monthly internal financial reports for all months during calendar years 2019, 2020, 2021, and 2022.

RESPONSE: OJC objects to this request on the grounds that it is not reasonably calculated to lead to the discovery of admissible evidence.

OJC has provided a single Excel spreadsheet that purportedly supports its alleged damages. However, the largest damages calculation is nearly nine times greater than smallest damages calculation. OJC has not provided any of the documentation upon which the spreadsheet is based, nor has it produced a report from a damages expert with respect to its calculations, which include lost profits. (Initial expert reports were due August 5, 2022.) If OJC did indeed lose sales and/or profits, that should be reflected in its financial statements. Such statements are discreet documents that are easily accessible and not burdensome to produce. Moreover, the financial statements are directly relevant to ascertaining the sales/profits of OJC over time. By refusing to provide these responsive and relevant documents, OJC is essentially taking the position that Respondents must accept their unsupported damages calculations as definitive. That is not the law, nor is it a reasonable position in light of the foregoing factors. The case law cited in the above-quoted message to OJC's counsel makes clear that Respondents are legally entitled to the requested financial statements from OJC.

If for some reason OJC does not have audited financial statements, it should at a minimum have some form of financial reports prepared in the ordinary course of business, whether those are unaudited financial statements/reports or periodic profit and loss statements. Respondents are entitled to financial records that OJC maintains in the ordinary course of business in order to test/verify the accuracy of OJC's damages claims.

COUNTERSTATEMENT ON 1st RFP 10 and 2nd RFP 20 and 21

As to 1st RFP 10, “[a]ll of Your audited financial statements for the period January 1, 2018 to the present,” as Respondents well know from the August 15 deposition of Jacob Weiss, OJC, as a private company, does not generate or possess any audited financials, as shown by this exchange:

Q. Okay. And do [OJC’s accounting firm] generate audited financials for you every year?

A. No, they don’t.

Q. Does anyone audit your financials?

A. No.

Q. So there is no audited financials for the company?

A. That’s correct.

(Weiss Deposition, 27:21 – 28:3.) Despite knowing this nearly a month ago, Respondents filed their motion to compel anyway.

As to 2nd RFP 20, “Your quarterly and annual profit and loss statements from 2018 until present” and 2nd RFP 21, “Your unaudited monthly internal financial reports for all months during calendar years 2019, 2020, 2021, and 2022,” Respondents again ignore the deposition testimony of Jacob Weiss, wherein he testified that OJC’s overall company financials in general would be no use to Respondents as the only line of business at issue in this proceeding is **OJC’s importing of its house-brand products into the United States**. OJC also sells many hundreds of thousands of other companies’ products, which are then drop shipped by those companies directly to OJC’s customers. OJC’s financials do not break out the house-brand, import line revenues from the revenues generated from the sale of third-party products. (Weiss Deposition, 52:14 – 53:1, 285:24 – 286:287:2.) Therefore, OJC’s financials would not be instructive as to the sales, shipments, or profitability of the house-brand lines at issue.

Regardless, OJC went out of its way and specifically generated the sales history of the house-brand products for Respondents. On July 14, 2022, OJC provided a total of 366,709 records of sales history on all those products, starting from January 1, 2020, to the present. For each sales transaction, OJC provided 12 points of data, including the order number, order date, order source, price paid, item ordered, qty ordered, cost of shipping, cost of fulfillment, commissions, marketing, discounts, sales, and gross revenue, all from OJC's internal database. OJC updated those records in its productions on September 2 and 6, 2022 as well. Respondents therefore have all the pertinent sales and profit information for the house-brand product line at issue.

Regardless, Mr. Weiss testified – and OJC has subsequently confirmed – that OJC does not generate quarterly or annual profit and loss statements. (Weiss Deposition, 251:16-25.) And while Mr. Weiss testified that he may run profitability reports on the company's computer system from time to time, these reports have been electronic, on the overall business (including the irrelevant sales of third-party products), and not kept in the ordinary course of business, as OJC's business is over 99% paperless. Therefore, not only do 2nd RFPs 20 and 21 seek documents that do not exist, but OJC also does not have to create documents in response to a request for production. *Alexander v. F.B.I.*, 194 F.R.D. 305, 310 (D.D.C. 2000) (Federal Rule of Civil Procedure 34 requires a party to produce documents that already exist and a party does not have to create a document in response to a request for production). Moreover, even if such documents were created, they would not be probative of anything, as the house-brand lines are not broken out in OJC's reports.

OJC is not an international, publicly-traded mega-corporation like Respondents and does not have huge bank credit lines, thousands of shareholders, and the like. Therefore, it should come as no surprise to Respondents that OJC does not need to – and therefore hasn't – generated regular profit and loss statements in the ordinary course of its business. Despite Respondents just calling OJC's production "a single Excel spreadsheet" and baldly asserting that no supporting

documentation has been provided, **millions of pieces of data** about its import shipments, the sales and profitability of its house-brand, and **(despite Respondents still not producing highly relevant documents 71 days after being ordered to do so)** an expert report verifying and calculating that data have been produced. Respondents' motion on 1st RFP 10 and 2nd RFPs 20 and 21 should therefore be denied as moot.

MEET AND CONFER CERTIFICATION

As noted above, Respondents' counsel met and conferred with OJC's counsel on at least three occasions regarding discovery issues, and exchanged emails in addition to the telephonic meet and confers.

CONCLUSION

For the reasons set forth above, Respondents respectfully request that an order be issued compelling OJC to respond to the discovery requests that are the subject of this motion.

COUNTERSTATEMENT TO CONCLUSION

For the foregoing reasons, OJC respectfully requests that Respondents' needless motion to compel be denied in its entirety, sanctions be levied by precluding Respondents from challenging OJC's claimed damages, and a hearing be set on all other outstanding discovery disputes, pursuant to 46 C.F.R. § 502.141(i)(2), in order to move this case's discovery to completion.

Dated: September 8, 2022

Respectfully Submitted,

By: /s/ Shlomo Y. Hecht
Shlomo Y. Hecht
Florida State Bar No.: 127144
Shlomo Y. Hecht, P.A.
4538 NW 85th Ave.
Coral Springs, FL 33065
Phone: (954) 861-0025
Email: sam@hechtlawpa.com
Attorneys for OJ Commerce, LLC

CERTIFICATE OF SERVICE

I hereby certify that OJC's counsel has this day served the foregoing document upon all of Respondents' counsel of record by emailing a copy to each such person.

Dated: September 8, 2022

By: /s/ Shlomo Y. Hecht
Shlomo Y. Hecht

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**SECOND DECLARATION OF JACOB WEISS IN SUPPORT OF COMPLAINANT’S
BRIEF**

I, Jacob Weiss, do hereby state and declare as follows:

1. I am the President and CEO of Complainant OJ Commerce, LLC (“OJC”). I have personal knowledge of the facts described below and believe, to the best of my knowledge, information, and belief, that the facts stated herein are true and correct. I am submitting this Declaration in Support of Complainant’s Brief in this case.

2. OJC is an e-commerce company whose business is done electronically over the Internet.

3. Maersk transported 66 FFEs of OJC’s shipments after April 29, 2021. A few of those shipments were already scheduled prior to April 29, 2021, and the rest were shipped from Asia via a third-party freight forwarder, United Shippers Association, or from Brazil via limited spot quotes. OJC was also able to ship to Kentucky with Maersk using that same third-party

reseller, United Shippers Association, during the same time period Maersk claimed that it could not ship to Kentucky.

4. The third-party data sources, Xeneta and Drewry, are well-respected and widely-used in the commercial market, and industry standard publications that provide rates based on thousands of container data points, thereby determining a more reliable average industry average for shipping rates.

5. OJC's 4200-4700 container range was the subject of detailed projections put together during 2020 and early 2021 by analyzing detailed sales and product interaction data as part of renewal discussions with Maersk, so that OJC could secure the needed space that it could not get in 2020-21. OJC continued projecting the full 4700 containers in May 2021 because Maersk told OJC that there were just some logistical problems with the renewal contract, which I believed at that time could still be straightened out. Instead of admitting that it refused to deal with OJC because it retaliated, Maersk had lied to me about the supposed reason for cutting OJC off.

6. When it came to planning its manufacturing for its import business, OJC did not just produce an unlimited number of products and put them into containers blindly, hoping that they could be shipped someday somehow. Manufacturers of OJC's import products needed a 60-90-day lead time to produce products. In order to commit to such orders, OJC had a plan to transport them to the United States before it would even have them manufactured. Otherwise, OJC could be stuck with products that it could not get transported to its customers in the United States because it did not have enough shipping space to do so, or because the rates cost more than the goods in the containers themselves. Without that predictability, OJC was left guessing as to how high the then-volatile spot market rates would go and if any space would be available at

all. Meanwhile, OJC's competitors enjoyed the predictability of set prices and volume commitments. In that predicament, there was no way for OJC to compete. Not surprisingly then, once OJC was cut off from its then-existing and renewal service contracts by Maersk, OJC's import business came to a virtual stand-still. Because it was robbed of a service contract due to Maersk's retaliation, OJC's ability to sell its products during 2021-22 dropped to a bare minimum, because OJC had neither the competitive shipping rates nor the allotted space enjoyed by its home-good competitors who had service contracts.

7. The supporting financial information contained in Weiss Ex. 101 includes (a) data of the 737 containers shipped by OJC from June 1, 2020, around when the parties' Service Contract started, until June 2020 - July 2022. For each container, OJC provided Maersk with 13 points of data, including but not limited to the exact origin, destination, shipping carrier, ship date, arrival date, container value, and the exact price paid; (b) a total of 2,830 records of all the contents in the 737 containers. For each line item, OJC provided 12 points of data, including but not limited to the product descriptions, total units, unit cost, profits, revenue, and pricing; and (c) a total of 366,709 records of sales history on all those products, starting from January 1, 2020, to August 17, 2022. For each sales transaction, OJC provided 12 points of data, including the order number, order date, order source, price paid, item ordered, quantity ordered, cost of shipping, cost of fulfillment, commissions, marketing, discounts, sales, and gross revenue, all from OJC's internal database used for its day to day business operations.

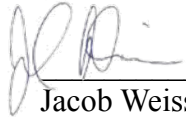
8. The 143 FFEs that OJC did ship in 2021-22 did not accurately reflect the spot market rates at the time, as they were through a shipping organization or the result of last-minute fill-ins when other companies could not take the space. Thus, these rates were lower – albeit

very infrequent and a tiny fraction of the overall market – than regular spot market rates, which OJC could not afford.

9. Maersk's cutting OJC off from a service contract caused OJC tremendous harm, because, as a result, OJC did not have the reliability and consistency of stable rates and volume commitments that are the great benefit of a service contract over the spot market.

I DECLARE UNDER PENALTY OF PERJURY THAT THE FOREGOING IS TRUE AND CORRECT.

Dated: December 23, 2022



Jacob Weiss

From: Andrea Casanova [/O=EXCHANGELABS/OU=EXCHANGE ADMINISTRATIVE GROUP (FYDIBOHF23SPDLT)/CN=RECIPIENTS/CN=75D18231451A463781639A551EBDD55E-CASANOVA, A]
Sent: 5/4/2021 3:28:09 PM
To: Jacob Weiss [jacob@ojcommerce.com]
CC: Andrea Cobo [Andrea.Cobo@hamburgsud.com]
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hello Jacob,

As per our conversation, we are not able to renew the contract at this time due to the lack of space and equipment in Asia and the shortage of truck power in the US that we and the entire industry are facing. This situation does not allow us to commit with space for another period, however, we can work case by case.

We deeply apologize contract cannot be renewed and thank you for your support and understanding.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

Classification: Internal

From: Jacob Weiss <jacob@ojcommerce.com>
Sent: Friday, April 30, 2021 11:29 AM
To: Andrea Casanova <andrea.casanova@hamburgsud.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

This message was sent from outside of your organization. Please do not click links or open attachments unless you recognize the source of this email and know the content is safe.

Andrea, Waiting for your updates.

From: Andrea Casanova <andrea.casanova@hamburgsud.com>
Sent: Wednesday, April 28, 2021 6:04 PM
To: Jacob Weiss <jacob@ojcommerce.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>
Subject: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Jacob,

2d Hecht Decl
Ex. 56

SCX513

HS-011265

As we spoke yesterday, we are working on your contract renewal so we would like to know an exact minimum quantity commitment (MQC) you are willing to sign to continue with process renewal.

At this time, please consider this commitment for the place of delivery City of Industry CA only.

I look forward to your feedback.

Thank you.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

Classification: Internal

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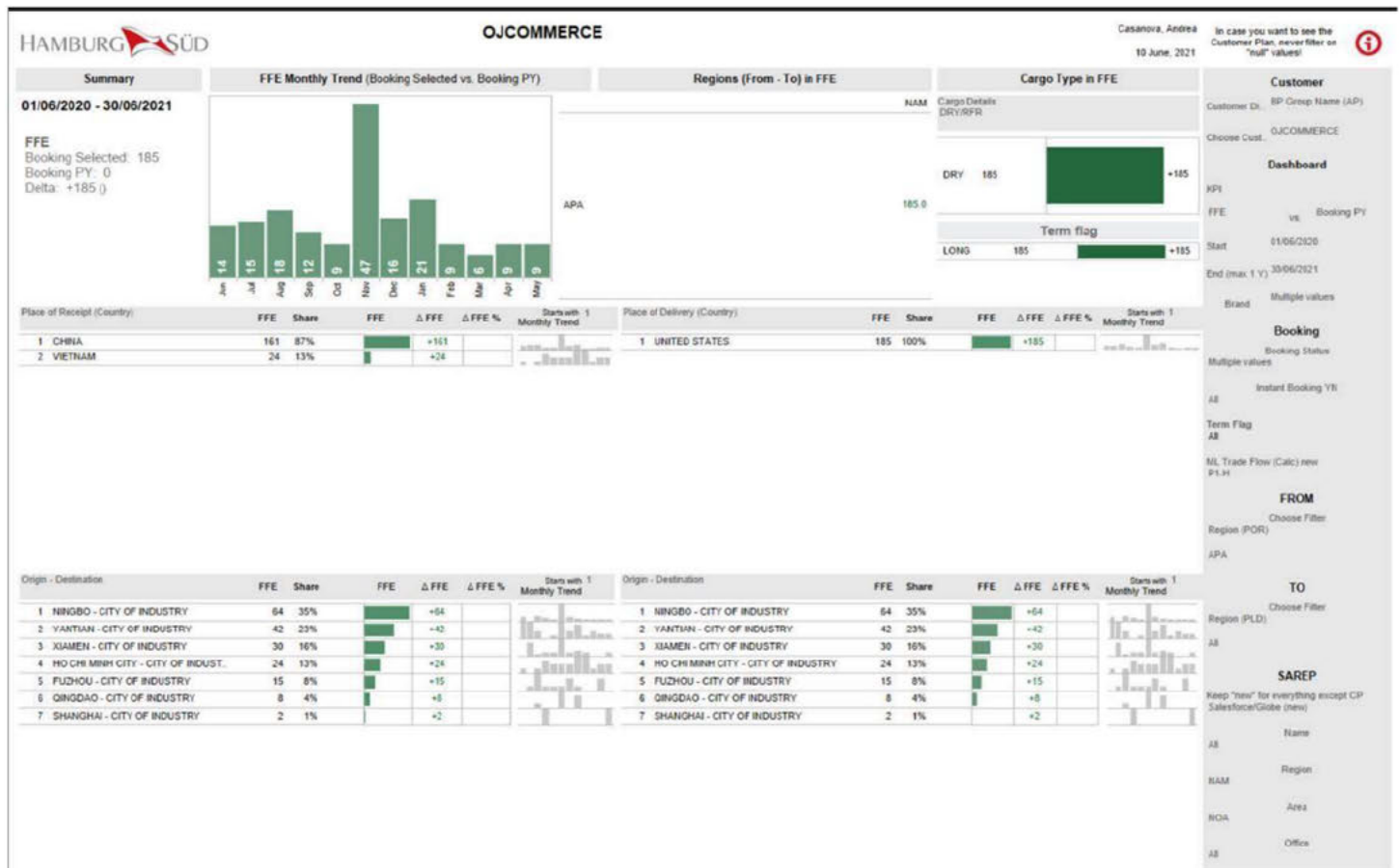
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Please consider the environment before printing this email.

From: Andrea Casanova [andrea.casanova@hamburgsud.com]
Sent: 6/10/2021 6:02:18 PM
To: Gonzalo Maldonado [gonzalo.maldonado@hamburgsud.com]; Kevin Li [kevin.li@hamburgsud.com]; Ivan Cheung [ivan.cheung@maersk.com]; Michael Gast [michael.gast@hamburgsud.com]
CC: Andrea Cobo [andrea.cobo@hamburgsud.com]
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Dear all,
Hope all of you are doing well.

The MQC was not fulfilled, we closed with 185 out 200 FFE and the customer is claiming the remaining 15 FFE.
The contract expired on May 31st and renewal was not approved by Upper Management. Please advise how we are going to proceed with this claim. Thank you.



Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: +1 (954) 438 5347
Mobile: +1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

SCX515

2d Hecht Decl
Ex. 57

HS-011678

Classification: Internal

From: Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>
Sent: Tuesday, May 4, 2021 8:40 AM
To: Kevin Li <kevin.li@hamburgsud.com>; Andrea Casanova <andrea.casanova@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>; Michael Gast <michael.gast@hamburgsud.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hello Ivan,

Good morning from USAEC.

Please note we were advise from customer in case that HS will not fulfill its contractual volume, it will proceed with legal actions against HS.

We believe due to the small volume remaining to fulfil MQC of 200 FFE; this could be avoid it.

I would appreciate please your feedback and authorization to grant space for this month of May for those 18 FFE's needed.

Best Regards,

Gonzalo Maldonado
Manager Area East Coast Sales – MIA



2801 SW 149th Ave.
Miramar, FL 33027
Direct + 1 (954) 438 5351
Cell + 1 (908) 413 4471
Email gonzalo.maldonado@hamburgsud.com

Classification: Internal

From: Kevin Li <kevin.li@hamburgsud.com>
Sent: Thursday, April 29, 2021 4:52 PM
To: Andrea Casanova <andrea.casanova@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>; Michael Gast <michael.gast@hamburgsud.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>; Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Andrea,

As you mentioned, I was completely unaware of their legal action against us since I left the TPEB team. I consulted with Juergen and the executive decision is that we should not engage in any renewal discussion with customer in light of potential litigation. Please disengage on renewal negotiation with this account, thanks.

Hi Ivan,

Please reject the new agreement mentioned below. Meanwhile, we will leave it up to APAROM's decision to handle the remaining 18 FFE that required to fulfill the 200 FFE MQC on current contract. But just to express our position on this, we should also consider not to provide them with space under existing contract. The shortfall will be compensated as per contract terms, considering we already fulfilled over 90% of the MQC agreement. Thanks.

@Michael Gast, please feel free to chime in, let us know if it is definitely required to provide the remaining 18 FFE from your prospective. Thanks.

Best Regards,
Kevin Li
Cargo Flow Specialist
Sales Coordination and Marketing

Hamburg Süd North America, Inc.
A Maersk Company
955 Hawthorn Drive
Itasca, IL
E-mail: kevin.li@hamburgsud.com

Classification: Internal

From: Andrea Casanova <andrea.casanova@hamburgsud.com>
Sent: Thursday, April 29, 2021 10:16 AM
To: Kevin Li <kevin.li@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>; Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>; Michael Gast <michael.gast@hamburgsud.com>
Subject: FW: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Kevin

I created the new SVC NOAC1000728 Effective June 1, 2021, until May 31, 2022. The new contract contains the same lanes, rates, and conditions of the current contract AECC0000291 and an increased MQC 400 FFE.

I added in remarks the drop and pull service which was offered with the current contract. I believe the bobtail fee amount has changed so please let which would be to inform the customer and I will modify the remarks in the contract.

Our offer includes the "Drop and Pull" service which means that door move includes one round trip trucking with no bobtail included.

The trucker who delivers the full Import container to your warehouse can pull out the empty container from the same warehouse location.

Any imbalance of loads and empties will result in a bobtail fee (double the round-trip dray cost) an additional \$460.)

The above statement is supported by the third attached correspondence from Wednesday, June 24, 2020, 4:49 PM and 5:22 PM sent by Serena from Trade dept.

Sent: Wednesday, June 24, 2020, 4:49 PM

Just to clarify, our rate only covers "drop and pull" one round trip trucking with no bobtail included. "any imbalance of loads and empties will result in a bobtail fee (double the round-trip dray cost)."

Sent: Wednesday, June 24, 2020, 5:22 PM

"Drop and Pull", our door rate will only include one round trip trucking.

"Drop and Pick, we will charge the bobtail fee to double inland cost \$460x2).

Please let me know if anything else is needed from my side.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.

SCX517

HS-011680

2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

Classification: Internal

From: Andrea Casanova
Sent: Thursday, April 29, 2021 10:38 AM
To: Kevin Li <Kevin.Li@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>
Cc: Andrea Cobo <Andrea.Cobo@hamburgsud.com>; Michael Gast <Michael.Gast@hamburgsud.com>; Gonzalo Maldonado <Gonzalo.Maldonado@hamburgsud.com>
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Kevin,

Regarding the current contract that will expire on May 31, 2021, as of today, we are short to satisfy the MQC of 200 FFE by 18 FFE since space has been declined since last month, according to the customer. This situation has been addressed with our team at origin but at this time we are not able to commit with additional space on top of the current SP 4 TEU a week until the end of the contract. The customer is claiming for this space and we received a letter from his lawyer about this. Attached are the emails (1st and 2nd attachments), you were not in copy.

I have spoken with the customer and he has stated that he does not want to end the relationship with us and just look for the fair that we promised. He is open to any solution that can offset this deficit.

Therefore, based on the above and since we are working to renew the contract, I want to ask if it is possible to Increase MQC by 200 FFE giving a total of \$400 FFE, that will not only cover the deficit by also show our interest to participate more of their volume, of course, if we truly can satisfy this volume.

This is not a short term account and the customer has been constant in his volumes and is willing to commit to much more of the current MQC.

Appreciate your review and feedback as soon as possible and if needed let's have a call.

I believe that the below Tableau's performance report includes the confirmed bookings for the next weeks, which are shown in the flexible dashboard below.



HAMBURG SÜD **Flexible Dashboard**

Agreement Party: OJCOMMERCE ML Trade Flow: P1-H Vessel System: UPAS2

Future

	21 18	21 19	21 20
OJCOMMERCE	2	1	3
UPAS1	2		
UPAS3		2	
UPAS6		1	
Grand Total	4	4	3

Thank you in advance,

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

Classification: Internal

SCX519

HS-011682

From: Kevin Li <kevin.li@hamburgsud.com>

Sent: Wednesday, April 28, 2021 4:32 PM

To: Andrea Casanova <andrea.casanova@hamburgsud.com>; Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>

Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>

Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Andrea,

We will need a clear target in order to put it on target list. They signed 200 FFE last year for City of Industry, CA and almost fulfilled that this year. Based on that what would be the MQC target for next year with and without KY business? I do suggest to maintain focus on local destination only. Tks.

Best Regards,

Kevin Li

Cargo Flow Specialist

Sales Coordination and Marketing

Hamburg Süd North America, Inc.

A Maersk Company

955 Hawthorn Drive

Itasca, IL

E-mail: kevin.li@hamburgsud.com

Classification: Internal

From: Andrea Casanova <andrea.casanova@hamburgsud.com>

Sent: Wednesday, April 28, 2021 1:14 PM

To: Kevin Li <kevin.li@hamburgsud.com>; Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>

Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>

Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Kevin,

Thank you, the client did not mention a specific MQC target but he mentioned the projected volume and is open to our proposal. They are willing to give us also KY business if we can carry it. In the past, it was declined since were not pursuing business to this IPI.

Best Regards,

Andrea Casanova

Account Executive

Hamburg Süd North America, Inc.

2801 SW 149th Ave Miramar, FL 33027

Direct: +1 (954) 438 5347

Mobile: +1 (305) 904 1961

E-Mail: andrea.casanova@hamburgsud.com

Classification: Internal

SCX520

HS-011683

From: Kevin Li <kevin.li@hamburgsud.com>

Sent: Tuesday, April 27, 2021 6:41 PM

To: Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>; Andrea Casanova <andrea.casanova@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>

Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>

Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Gonzalo,

As per below, this will be 100% P1 opportunity. What's the MQC target for this account?

Best Regards,

Kevin Li

Cargo Flow Specialist

Sales Coordination and Marketing

Hamburg Süd North America, Inc.

A Maersk Company

955 Hawthorn Drive

Itasca, IL

E-mail: kevin.li@hamburgsud.com

Classification: Internal

From: Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>

Sent: Tuesday, April 27, 2021 4:49 PM

To: Andrea Casanova <andrea.casanova@hamburgsud.com>; Ivan Cheung <ivan.cheung@maersk.com>; Kevin Li <kevin.li@hamburgsud.com>

Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>

Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Kevin,

This is the account that we spoke during the TPEB account review that you need to add to our list.

Best Regards,

Gonzalo Maldonado

Manager Area East Coast Sales – MIA



A Maersk Company

2801 SW 149th Ave.

Miramar, FL 33027

Direct +1 (954) 438 5351

Cell +1 (908) 413 4471

Email gonzalo.maldonado@hamburgsud.com

Classification: Internal

From: Andrea Casanova <andrea.casanova@hamburgsud.com>

Sent: Tuesday, April 27, 2021 5:30 PM

To: Ivan Cheung <ivan.cheung@maersk.com>; Kevin Li <kevin.li@hamburgsud.com>

Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>; Gonzalo Maldonado <gonzalo.maldonado@hamburgsud.com>
Subject: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hello Ivan, Kevin

Customer OJ Commerce contract is expiring on May 31, 2021, and the customer wants to renew the contract and if possible to increase MQC and add the route to Louisville KY.

The current contract AECC0000291 had a validity of year and contains routes to City of Industry CA and MQC of 400 TEUs

According to the customer, they moved 3500x40HC in 2020 and plans to move between 4200 to 4700 FFE in 2021. 70% of this volume is to Kentucky and the remaining is to California

If we are interested in KY business, their warehouse is very close to the CSX Rail Yard for the drop and pull moves.

Attached is the contract with lanes and current rates and below is the customer's performance from Tableau.

Appreciate any advice if there are any new guideline regarding TPEB contracts so we can start working on this contract renewal.



Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com